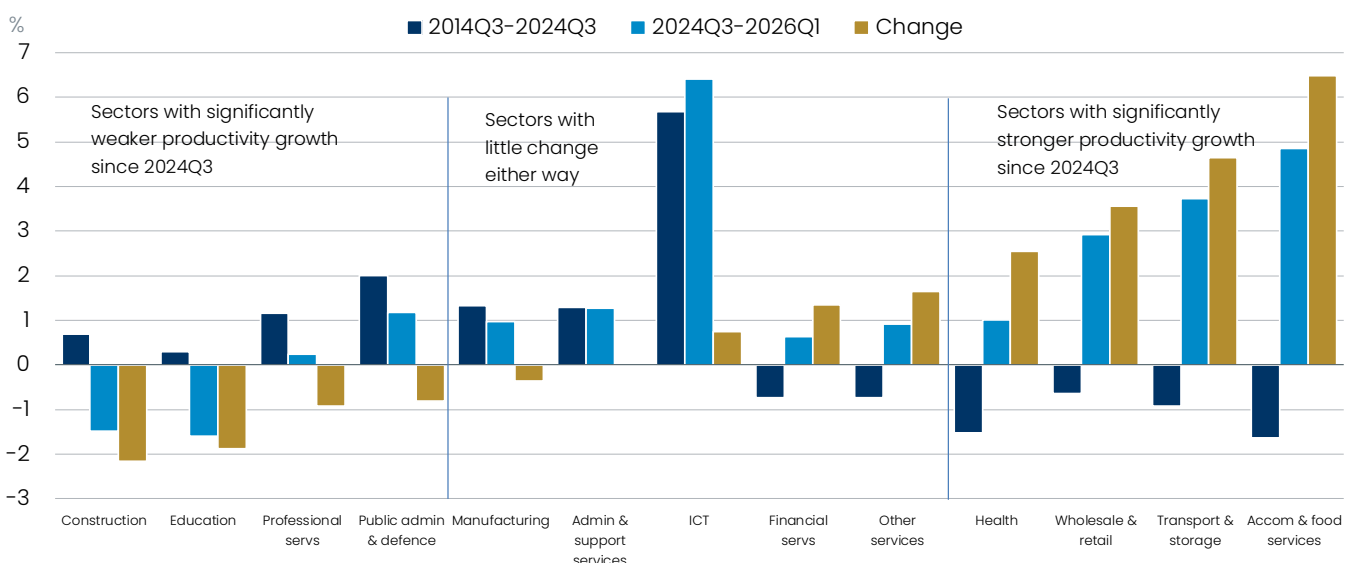


Is a more optimistic view on recent productivity trends justified?

- We agree with the view of Professor John Van Reenan (ex-chair of the government's Council of Economic Advisors) that – using the most accurate employment measures – the UK has seen a marked rise in productivity growth since the 2024 general election.
- But we disagree on the likely cause. Rather than reflecting a benign story of rising AI use and pro-growth government policies (as Professor Van Reenan argues), the recent pickup in productivity growth is concentrated in low-pay sectors (for example, accommodation and food services, retail, and transport).
- Sectors with high AI use (for example, ICT and professional services) haven't seen a major pickup in productivity growth. The UK may experience AI-related productivity gains in the future, but this doesn't seem to have been a big factor so far.
- We think higher productivity growth in low-pay sectors mainly reflects the adverse effects on employment of the recent sharp increases in the National Living Wage and employers' National Insurance Contributions. The resultant job losses are contributing to higher unemployment, especially among younger people. This is unlikely to generate higher potential GDP growth, with improved productivity accompanied by higher structural unemployment.

Chart 1: The recent pickup in productivity growth has mainly been concentrated in low-pay sectors

UK: Productivity growth (q/q annualised) by industry (based on HMRC payrolls and LFS self-employment data)



Sources: Oxford Economics, Haver Analytics

Do recent productivity trends offer grounds for optimism?

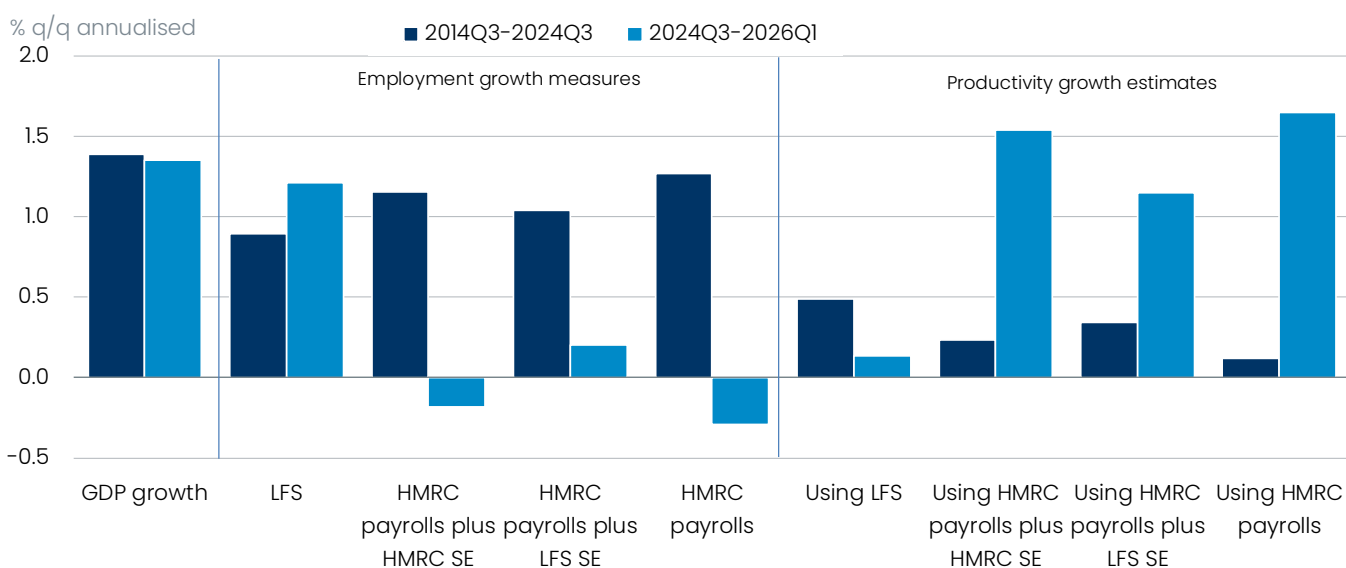
A sustained and significant pickup in productivity growth would transform the UK economy's prospects, offering a route to higher growth of living standards and a more sustainable fiscal position. An [interesting and important recent article](#) by Professor John Van Reenen OBE (JVR) – who was chair of the government's Council of Economic Advisors in 2024–2025 – cites grounds for optimism. JVR makes three main arguments:

- In judging recent UK productivity trends, it's better to use measures based on alternative employment estimates, especially those based on the HMRC employee figures, rather than the Office for National Statistics' (ONS) official productivity data based on the Labour Force Survey (LFS). This is because of well-known measurement problems with the LFS data.
- These alternative estimates show a rebound in productivity growth since Q3 2024 (when the current Labour government took office), compared with the sluggish productivity trends of the preceding 10 years (i.e., Q3 2014–Q3 2024). JVR describes this as a "remarkable rebound in productivity".
- The recent pickup in productivity growth reflects rising AI use, as well as the government's measures of lifting public investment and planning reform. He argues "we might be witnessing the first macro-economic flowers of the AI boom, as seems to be happening in the US. Britain is well placed to benefit as we are a knowledge-intensive service exports superpower in areas such as higher education, finance, law, accounting, consulting and marketing. Indeed, productivity growth has been strongest in high-tech sectors such as Information and Communication, rather than just in lower wage sectors disproportionately affected by hikes in the minimum wage and Employers' National Insurance."

We agree with the first two points. Whereas the official ONS productivity figures are based on LFS employment totals, we [recently highlighted](#) signs of higher productivity growth based on alternative employment estimates (for example, using the HMRC payroll data). JVR's preferred measure uses the HMRC payroll figures for employees plus figures for the self-employed (SE) based on administrative HMRC data (available [here](#)). On this basis, we estimate that the q/q annualised pace of productivity growth has recently picked up substantially, from 0.2% during Q3 2014–Q3 2024 to 1.5% for Q3 2024–Q1 2026 ([Chart 2](#)). The picture is similar for productivity estimates based on the other employment measures used by JVR, which are 1) HMRC payrolls plus the LFS figure for self-employed; and 2) just HMRC payrolls.

Chart 2: Alternative employment measures suggest productivity growth has picked up recently

UK: Estimates for productivity growth based on alternative employment measures



Sources: Oxford Economics, Haver Analytics

These estimates based on alternative employment measures probably slightly overstate the underlying recent pickup. This is partly because of residual seasonality in the GDP data (see [here](#) and [here](#)), which has tended to

produce relatively strong Q1 figures for GDP growth and weaker figures in other quarters. This seasonality is absent in the employment data, and hence seasonality in GDP growth spills over into the productivity figures. The recent period used by JVR (Q3 2014–Q1 2026) includes two Q1 figures – which show strong growth – but only one reading for both Q2 and Q3 (which show weaker growth). This unbalanced average biases upwards the estimate for recent productivity growth. The other factor is that recent HMRC payroll figures have tended to be revised up (on average, q/q annualised growth for 2023–2025 has been revised up by 0.6ppts since first release). These revisions usually mostly occur after a few months, and so it's likely that recent figures haven't yet been revised up – but will be. Assuming no revisions to the GDP data, upward revisions to recent employment totals would imply downward revisions to recent productivity growth.

Allowing for these factors, we judge the underlying pace of productivity growth for Q3 2024–Q1 2026 is probably more like 1.1%–1.2% q/q annualised on JVR's preferred employment measure, rather than the 1.5% estimate shown above.

Even so, this appears to be a substantial improvement on the preceding decade, when productivity growth averaged just 0.2% q/q annualised. So far, so good for the JVR argument.

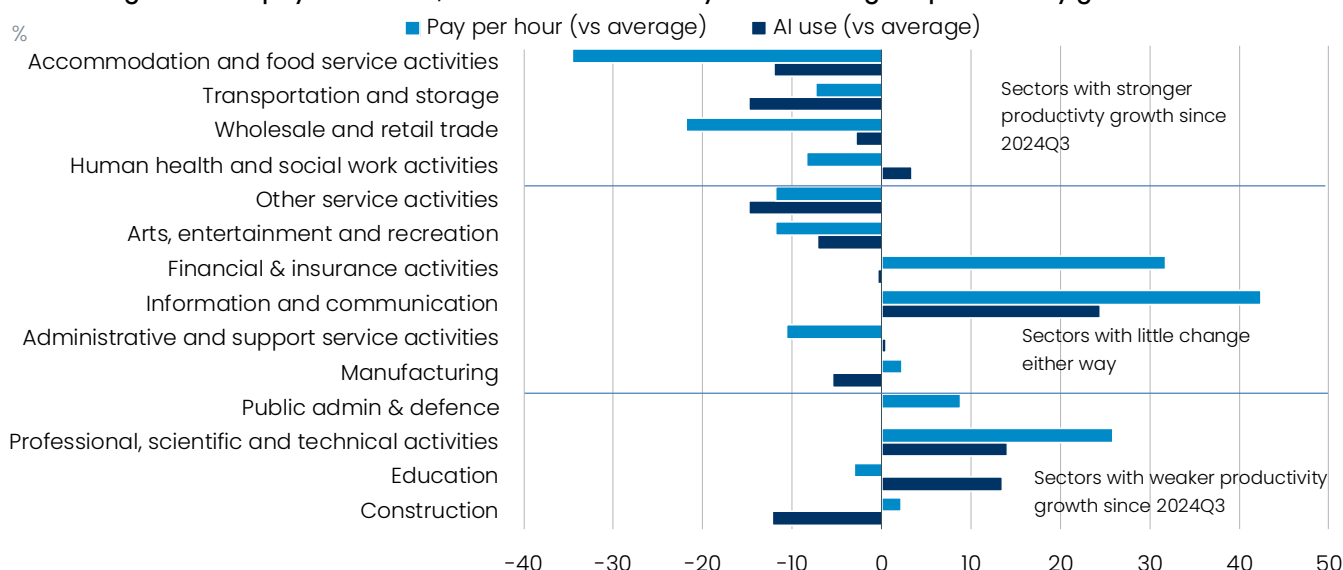
Is the recent pickup in productivity growth due to AI?

However, we're sceptical of the argument that the recent pickup in productivity growth reflects higher public investment and rising AI use – which might produce a lasting rise in potential GDP growth. The earlier period included the pandemic and Brexit, two major negative shocks. The absence of a similar shock since mid-2024 by itself would be likely to lift productivity growth to an extent. But in addition, the sectoral split points to productivity gains in low-pay sectors, which probably reflects the adverse effects on low-paid employment of the hikes in the National Living Wage (NLW) and Employers' National Insurance Contributions (NICs). These are unlikely to lift potential GDP, because improvements in productivity are likely to be offset by a lower employment rate, reflected in a higher equilibrium jobless rate and a lower trend in workforce participation.

It isn't possible to produce sectoral productivity trends using JVR's most preferred employment measures (HMRC payrolls plus administrative HMRC figures for self-employment), but it is possible using his other measures (i.e., HMRC payrolls and LFS self-employed data, or just the HMRC payrolls data). Given that the pickup in productivity is similar across all three measures, we feel comfortable just using these two series to explore the sectoral detail.

Using JVR's second employment measure, the sectoral detail shows a strong recent pickup in productivity growth – with q/q annualised productivity growth in Q3 2024–Q1 2026 at least 2ppts above the preceding 10 years – in four main sectors: health, wholesale and retail, transport and storage, and accommodation and food services ([Chart 1](#)). Four sectors (construction, education, professional, scientific and technical services, as well as public administration and defence) saw a marked slowdown in productivity growth (at least 0.5ppts). The other sectors (which includes manufacturing and ICT) saw little change either way, with either a modest pickup in productivity growth or a modest slowdown. The picture is similar using JVR's other employment measure, which just uses HMRC payrolls.

In line with [our previous work](#), the sectoral picture suggests that the recent pickup in productivity growth has been concentrated in low-pay sectors, with hourly pay below the average for all jobs in the four sectors with higher productivity growth. These also are mostly sectors with relatively low AI use (there's a strong positive correlation across sectors between the share of firms using AI and average pay levels). To be sure, at first glance, the pickup in productivity growth in health services – which has above-average AI use – may seem to fit the JVR narrative of an AI-related lift. However, the recent rise in health service productivity was concentrated in late 2024/early 2025 and may simply reflect a rebound from the depressed productivity figures seen during the intense junior doctors' strike action in 2022–2024. Productivity growth in this sector has slowed recently, even while AI use in health services has continued to rise.

Chart 3: The recent pickup in productivity growth has been concentrated in sectors with low pay and low AI use**UK: Average levels of pay and AI use, with sectors ranked by recent change in productivity growth**

Sources: Oxford Economics, Haver Analytics

JVR's statement "productivity growth has been strongest in high-tech sectors such as Information and Communication" is true but isn't relevant in explaining the recent pickup in overall productivity growth. Productivity growth in ICT was strong in 2014–2024 and has remained strong since then, but hasn't picked up significantly. And productivity growth in professional, technical and scientific services (another sector highlighted by JVR as a bright spot) has slowed since Q3 2024.

There's [evidence that higher public investment](#) is likely to lift productivity growth over time. But it probably is too soon to see any significant effect yet: the effects generally only start to become visible after 5–10 years rather than just a few quarters.

It is, of course, possible that rising AI use will eventually show up in higher productivity growth in the UK. There are [signs that productivity growth is rising](#) in European countries with very high AI use. But the UK is not in this group: AI use in UK firms is close to the EU average (and US levels). The UK may see AI-related productivity gains in coming years, but this doesn't seem to have been a big factor over the past couple of years.

So, what's behind the recent signs of higher productivity growth?

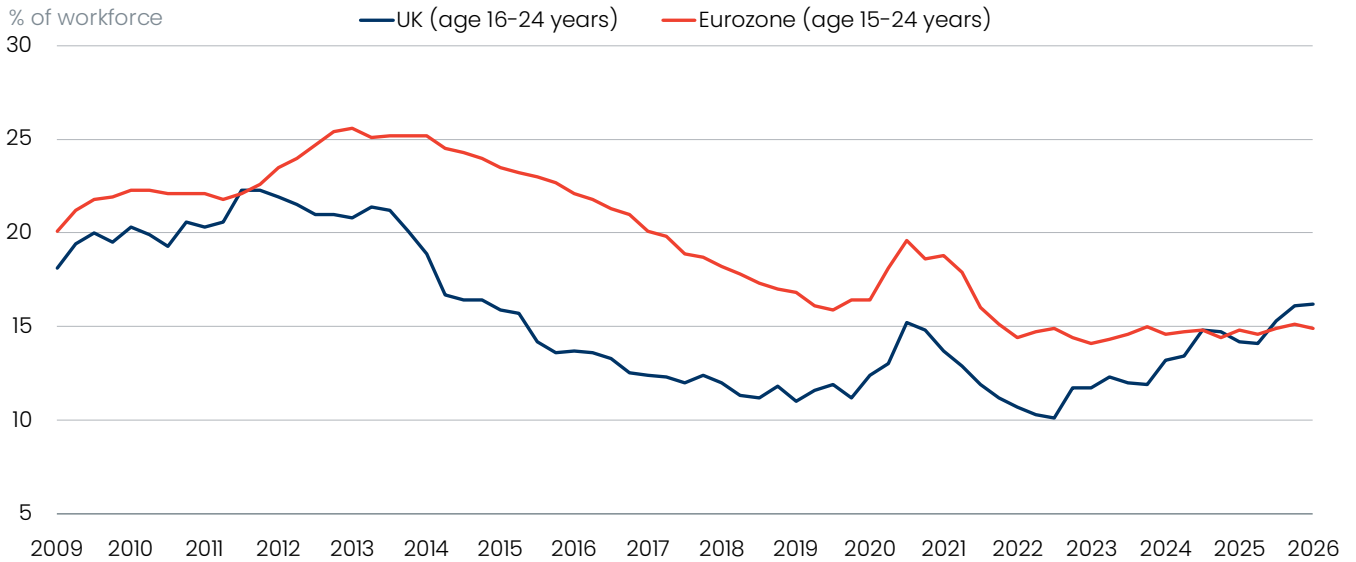
Rather than rising AI use and higher public investment, we suspect the recent rise in UK productivity growth mainly reflects the erosion of low-paid work caused by the sharp rise in employment costs due to the recent increases in the National Living Wage and employers' National Insurance Contributions. With these cost increases, some low-paid jobs are probably no longer viable. Assuming a link between pay and productivity, the reduction in low-paid jobs lifts the average productivity for those in work through a 'batting average' effect. But people who might have had those low-paid jobs are – unless they can raise their productivity enough to find higher-paid work – now likely to face persistent unemployment or leave the workforce.

These effects are hitting younger people disproportionately, because – with less work experience – they tend to have relatively low pay levels. The impact is evident in the sharp rise in the unemployment rate among the 16–24 age group, which – unusually – now exceeds the Eurozone equivalent (for the 15–24 age group). Moreover, in the UK, long-term unemployment among this age group is rising sharply.

Hence, rather than being a source of higher living standards, higher productivity growth in these low-pay sectors is more likely to be accompanied by higher structural unemployment. This should be a cause for concern rather than celebration.

Chart 4: Unemployment for the 16-24 age group has risen sharply in the UK

UK and Eurozone: Unemployment rate for younger people



Sources: Oxford Economics, Haver Analytics